

Undertaking

11 August 2011

Undertaking to the Australian Competition and Consumer Commission

given under section 87B of the *Competition and
Consumer Act 2010* by Asahi Holdings (Australia)
Pty Ltd

Contents

Table of contents

1	Person giving the Undertaking	4
2	Background	4
2.1	The Parties	4
2.2	The original Proposed Acquisition	4
2.3	The ACCC's review and competition concerns	4
2.4	The restructure of the Proposed Acquisition and Undertaking	5
2.5	The Undertaking remedy	5
3	Commencement of the Undertaking	6
3.1	Commencement	6
4	Cessation of ongoing obligations	6
4.1	Termination or withdrawal	6
4.2	Revocation	6
4.3	Waiver	6
4.4	Completion	7
5	Divestiture of the Divestiture Business	7
5.1	Divestiture	7
5.2	Consents	8
5.3	Transferred Personnel	8
5.4	Approved Co-Packing Agreement	9
6	Divestiture of the Divestiture Business to the Approved Purchaser	9
6.1	Divestiture only to the Approved Purchaser	9
6.2	Approved Purchaser	9
6.3	Approved Agreements	10
7	Protection of the Delayed Transfer Assets	10
7.1	Protection of the Delayed Transfer Assets	10
7.2	Direction to personnel of Asahi	10
8	Independent Audit	11
8.1	Obligation to appoint an Approved Independent Auditor	11
8.2	Approved Independent Auditor	12
8.3	Obligations and powers of the Approved Independent Auditor	12
8.4	Compliance audit	12
8.5	Resignation or termination of the Approved Independent Auditor	13
9	Information	14
10	Disclosure of the Undertaking	15
11	Obligation to procure	16
12	No derogation	16
13	Costs	16
14	Notices	16
14.1	Giving Notices	16
14.2	Change of address or fax number	17

15	Defined terms and interpretation	17
15.1	Definitions in the Dictionary	17
15.2	Interpretation	17
	Schedules	
	Dictionary and Interpretation	19
	Confidential clauses	24
	Divestiture Business	35
	Confidential agreements	38
	Signing page	39

1 Person giving the Undertaking

This Undertaking is given to the Australian Competition and Consumer Commission (**ACCC**) by Asahi Holdings (Australia) Pty Ltd ACN 135 315 767 on behalf of itself and its Subsidiaries (together referred to as **Asahi** in the Undertaking).

2 Background

2.1 The Parties

- (a) The Japanese-based Asahi Group Holdings, Ltd. (formerly Asahi Breweries Ltd) is the ultimate owner of Asahi, which in turn indirectly owns Schweppes Australia Pty Ltd (**SAPL**). SAPL manufactures and sells at the wholesale level a range of non-alcoholic beverages including carbonated soft drinks (**CSDs**), bottled water, fruit juice, energy drinks, cordials, sports drinks and iced tea.
- (b) P&N Beverages Australia Pty Ltd (ACN 011 059 939) (**P&N**) and P&N Australia Pty Ltd (ACN 101 168 192) (**P&N Australia**) (together **P&N**, or the **P&N companies**) are privately owned companies which manufacture and wholesale non-alcoholic beverages including CSDs, bottled water, fruit juice, energy drinks, sports drinks and cordials. P&N's product range includes products which are sold using P&N's own brands (referred to as 'branded products') and products that are sold under brand names owned by others, such as supermarkets (referred to as 'private label products').

2.2 The original Proposed Acquisition

- (a) On 30 August 2010, Asahi lodged a submission seeking clearance from the ACCC for Asahi's proposed acquisition of 100% of the shares in P&N (the **Proposed Acquisition**).

2.3 The ACCC's review and competition concerns

- (a) On 1 September 2010, the ACCC commenced its informal review of the Proposed Acquisition.
- (b) The ACCC undertook market inquiries and considered information provided by the parties to the Proposed Acquisition, industry participants and other interested parties. The ACCC's inquiries were aimed at assessing whether or not the Proposed Acquisition would have the effect or be likely to have the effect of substantially lessening competition in a market in contravention of section 50 of the Competition and Consumer Act 2010 (Cth) (the **Act**). On 9 March 2011 the ACCC announced it would oppose the Proposed Acquisition as it considered that the Proposed Acquisition would result, or be likely to result, in a substantial lessening of competition in the national market for the manufacture and wholesale supply of CSDs (the **CSD market**) and in the national market for the manufacture and wholesale supply of cordial (the **cordial market**), in breach of section 50(1) of the Act.
- (c) In the CSD market, the ACCC concluded that in light of the competitive constraint currently provided by P&N and the relatively high barriers to entry for both branded and private label CSDs, the merged entity would have the ability and incentive to increase the wholesale price of either branded CSDs, private label CSDs or both post acquisition such that the Proposed Acquisition would

result in a substantial lessening of competition in this market. The ACCC also considered that the Proposed Acquisition would leave two significant suppliers of CSDs – along with a number of much smaller suppliers – which may increase the ability of the remaining significant competitors to coordinate on prices.

- (d) In the cordial market, the merged entity would be approximately three times as large as its nearest competitor, Golden Circle. The ACCC considered that, although Golden Circle and private label cordials provide a competitive constraint on both SAPL and P&N, the Proposed Acquisition would expand SAPL and remove a vigorous and effective competitor in P&N such that there is a strong likelihood that SAPL will have the ability and incentive to increase the prices paid for cordial products.
- (e) The ACCC did not express concerns in relation to any other non alcoholic beverage markets affected by the Proposed Acquisition, including the national markets for the wholesale supply of juice and bottled water.

2.4 The restructure of the Proposed Acquisition and Undertaking

- (a) Asahi does not consider that the Proposed Acquisition would be likely to substantially lessen competition in relation to the manufacture and wholesale supply of CSDs and cordial. However, in order to avoid delay and to address the ACCC's competition concerns, Asahi has agreed with the vendor of the P&N Companies to terminate the prior agreements relating to the Proposed Acquisition and restructure the Proposed Acquisition so that:
 - (1) Asahi will divest the CSD and cordial business to a newly incorporated entity Tru Blu Beverages Pty Ltd (TBB);
 - (2) the sale of the CSD and cordial business of the P&N companies to TBB will occur at the same time as, and interdependent with, the completion of the Proposed Acquisition, with the effect that the CSD and cordial business of the P&N companies will have the same ultimate owner, both before and after the Proposed Acquisition; and
 - (3) Asahi will retain the water and juice business of the P&N companies.
- (b) The Share Purchase Agreement and Asset Sale Agreement provide for a simultaneous and interdependent completion of the Proposed Acquisition and the divestiture of the CSD and cordial business to TBB.
- (c) Asahi has also, without admission, provided this Undertaking pursuant to section 87B of the Act in order to avoid delay and to address the ACCC's competition concerns.
- (d) The objective of this Undertaking is to address the ACCC's competition concerns that would otherwise arise as a consequence of the Proposed Acquisition.

2.5 The Undertaking remedy

- (a) Asahi has addressed the ACCC's competition concerns by offering in this Undertaking the sale of the Divestiture Business (consisting of the CSD and cordial business) to TBB, as a competitive going concern.
- (b) The ACCC's approval of the Proposed Acquisition is dependent on the divestiture of the Divestiture Business to TBB on the same day as, and interdependent with the completion of the Proposed Acquisition, as contemplated in the Share Purchase Agreement, Asset Sale Agreement and SAPL Asset Transfer Deed.
- (c) The objective of the Undertaking is to address the ACCC's competition concerns which would otherwise arise as a consequence of the Proposed Acquisition.

The Undertaking aims to achieve this objective by maintaining the competition which existed before the Proposed Acquisition through:

- (1) the maintenance of a viable, effective, stand-alone independent and long term competitor in the CSD and cordial markets;
- (2) ensuring that TBB has the necessary assets, rights and agreements to compete effectively with Asahi;
- (3) maintaining the economic viability, marketability, competitiveness and goodwill of the Divestiture Business prior to divestiture;
- (4) enabling TBB to supply the product and service offerings which are part of the Divestiture Business independently and without ongoing reliance upon Asahi;
- (5) ensuring that any Approved Co-Packing Agreements or Delayed Transfer Asset obligations between Asahi and TBB will be for a short period, at arm's length and on terms no less favourable than normal commercial terms; and
- (6) the effective oversight of Asahi's compliance with the Undertaking.

3 Commencement of the Undertaking

3.1 Commencement

The Undertaking comes into effect (the **Commencement Date**) when:

- (a) the Undertaking is executed by Asahi; and
- (b) the Undertaking so executed is accepted by the ACCC.

4 Cessation of ongoing obligations

4.1 Termination or withdrawal

The Undertaking will terminate on the date:

- (a) the ACCC confirms to Asahi in writing that it is satisfied that the obligations in clauses 5 (including Schedule 2 if applicable), 6 and 7 as relevant have been satisfied; or
- (b) any earlier date on which the ACCC consents in writing to the withdrawal of the Undertaking in accordance with section 87B of the Act.

4.2 Revocation

Notwithstanding anything else in the Undertaking, the ACCC may, at any time, revoke in writing its acceptance of the Undertaking if the ACCC becomes aware that any information provided to it by Asahi was incorrect, inaccurate or misleading.

4.3 Waiver

Notwithstanding anything else in the Undertaking, the ACCC may, at any time, expressly waive in writing any of the obligations contained in the Undertaking.

4.4 Completion

Clauses 1, 2, 3, 4, 8, 9, 10, 11, 12, 13, 14 and 15 survive completion of the obligations in clauses 5 (including Schedule 2 if applicable), 6 and 7.

5 Divestiture of the Divestiture Business

5.1 Divestiture

- (a) Asahi must complete the sale and transfer of the Divestiture Business to the Approved Purchaser simultaneously with and interdependent with the Proposed Acquisition, as contemplated by the Share Purchase Agreement, the Asset Sale Agreement and the SAPL Asset Transfer Deed.
- (b) Asahi's obligations under clause 5.1(a) in relation to material contracts used in respect of the Divestiture Business, are subject to the Approved Purchaser being granted any necessary Consents.
- (c) Asahi must divest, or cause the divestiture of, the Divestiture Business to the Approved Purchaser on terms which include:
 - (1) the sale, assignment, transfer and/or licence (as appropriate) of the assets in Schedule 3 to the Approved Purchaser, pursuant to the Asset Sale Agreement and SAPL Asset Transfer Deed; and
 - (2) the transfer of the Transferred Personnel pursuant to clauses 5.3(a) and 5.3(b).
- (d) Asahi also undertakes to:
 - (1) comply with any Approved Co-Packing Agreement;
 - (2) comply with any Delayed Transfer Asset protection obligations in clause 7; and
 - (3) comply with the independent audit provisions in clause 8.
- (e) If, on the Completion Date, the sale and transfer of the Divestiture Business is not completed, then clause 5.1(g) applies.
- (f) Asahi must not, without the consent of the ACCC, agree to the variation, or waiver of the conditions of, any of:
 - (1) the Share Purchase Agreement;
 - (2) the Asset Sale Agreement; or
 - (3) the SAPL Asset Transfer Deed,
 which relate to:
 - (4) obtaining ACCC clearance for the Proposed Acquisition; or
 - (5) entering into the Approved Co-Packing Agreement.
- (g) Notwithstanding any provision in the Share Purchase Agreement, Asset Sale Agreement, or the SAPL Asset Transfer Deed, if on the Completion Date, Asahi does not complete the sale and transfer of the Divestiture Business to the Approved Purchaser in accordance with clause 5.1(a), then Asahi is prohibited from completing the Proposed Acquisition; and
 - (1) to the extent that the parties to those agreements have taken actions to complete the Proposed Acquisition, Asahi must do everything in its power or control to reverse the Proposed Acquisition and reverse those

actions which facilitated the completion of the Proposed Acquisition;
and

- (2) if, in breach of clause 5.1(g), Asahi completes the Proposed Acquisition and notwithstanding clause 5.1(g)(1) the Proposed Acquisition is not reversed within three Business Days, then Schedule 2 will apply.
- (h) Asahi must do everything in its power or control to enforce the terms of any executed agreement with the Approved Purchaser under which the Approved Purchaser is obliged to acquire the Divestiture Business.
- (i) For the avoidance of doubt, nothing in this clause 5.1 will require the physical transfer of the Delayed Transfer Assets on the Completion Date.

5.2 Consents

- (a) Asahi must:
 - (1) assist the Approved Purchaser to obtain as expeditiously as possible all Consents as required by the Approved Purchaser; and
 - (2) act in good faith in its negotiations with the Approved Purchaser in relation to obtaining any Consents.
- (b) If, seven Business Days after the Completion Date, the Approved Purchaser fails to obtain or is unable to obtain one or more Consents, then:
 - (1) Asahi must immediately provide to the ACCC, in writing, details of:
 - (i) the Consents that have not been obtained;
 - (ii) the reasons why the Consents have not been obtained; and
 - (ii) the information or material required to obtain the Consents; and
 - (2) Asahi must do everything in its power to obtain the Consents.

5.3 Transferred Personnel

- (a) At the option of the Approved Purchaser, Asahi must transfer to the Approved Purchaser all employees employed by the P&N Companies who are notified by the Approved Purchaser to Asahi as a person that the Approved Purchaser wishes to employ in the Divestiture Business, subject to the consent of such employees (**Transferred Personnel**).
- (b) When fulfilling its obligations under clause 5.3(a) Asahi must:
 - (1) not directly or indirectly discourage any Transferred Personnel from continuing or seeking employment with the Approved Purchaser;
 - (2) release the Transferred Personnel from any obligations to provide services to Asahi;
 - (3) release the Transferred Personnel from any non-compete or similar restraint of trade obligation, to the extent that such an obligation would otherwise prevent the person from performing his or her contemplated role in relation to the Divestiture Business; and
 - (4) not procure, promote or encourage the transfer of any of the Transferred Personnel from the Approved Purchaser to Asahi for a period of six months after the Completion Date.

5.4 Approved Co-Packing Agreement

- (a) Asahi must ensure the continuous supply of the products and services which are the subject of any Approved Co-Packing Agreement for the period of the Approved Co-Packing Agreement.
- (b) Asahi must ensure that any Approved Co-Packing Agreement:
 - (1) is for a reasonable period to enable the Approved Purchaser to be a viable, effective, stand-alone independent and long-term competitor in the CSD and cordial markets;
 - (2) provides for the manufacturing, packaging and supply of the subject products and services at a price which reflects the cost of goods plus reasonable overheads; and
 - (3) is on such terms other than price which are no less favourable to the Approved Purchaser than arm's length terms.
- (c) For the avoidance of doubt, any option to renew the co-packing of any products exercised pursuant to the Approved Co-Packing Agreement can only be exercised subject to the requirements of clause 5.4(b) being satisfied and with prior ACCC approval.

6 Divestiture of the Divestiture Business to the Approved Purchaser

6.1 Divestiture only to the Approved Purchaser

Asahi must divest the Divestiture Business only to the Approved Purchaser.

6.2 Approved Purchaser

- (a) The ACCC has approved, as a condition precedent to accepting the Undertaking, TBB as the Approved Purchaser of the Divestiture Business on the basis of the following:
 - (1) the Approved Purchaser will complete the transaction contemplated by the Asset Sale Agreement and the SAPL Asset Transfer Deed pursuant to which the Approved Purchaser acquires the Divestiture Business;
 - (2) the Approved Purchaser is and will remain independent of and has no direct or indirect interest in Asahi, except for the terms of the Approved Co-Packing Agreement;
 - (3) the Approved Purchaser is of good financial standing and has an intention to maintain and operate the Divestiture Business as a going concern;
 - (4) the Approved Purchaser is able to conduct the Divestiture Business effectively; and
 - (5) the divestiture of the Divestiture Business to the Approved Purchaser will address any competition concerns of the ACCC, including the likely long term viability and competitiveness of the Divestiture Business under the ownership of the Approved Purchaser.
- (b) The ACCC may revoke the Approved Purchaser's status as the Approved Purchaser if the ACCC becomes aware that any information provided to it by Asahi or the Approved Purchaser was incorrect, inaccurate or misleading.

6.3 Approved Agreements

- (a) It is also a condition precedent of the ACCC's acceptance of the Undertaking that each of the agreements listed in clause 6.3(a)(1) to 6.3(a)(4) have been approved by the ACCC, duly executed and a copy of each executed agreement has been provided to the ACCC:
- (1) the Share Purchase Agreement;
 - (2) the Asset Sale Agreement;
 - (3) the SAPL Asset Transfer Deed; and
 - (4) Approved Co-Packing Agreement.
- (b) Asahi unconditionally represents and warrants to the ACCC that as at the Commencement Date each of the agreements referred to in clause 6.3(a) above constitutes a legal, valid and binding obligation of each party thereto and is enforceable in accordance with its terms.

7 Protection of the Delayed Transfer Assets

7.1 Protection of the Delayed Transfer Assets

Asahi must,

- (a) from the Commencement Date, in respect of the SAPL Delayed Transfer Assets; and
- (b) from the Completion Date in respect of the P&N Delayed Transfer Assets, until the Delayed Transfer Assets are in the physical possession of the Approved Purchaser take all steps to:
 - (c) provide the Approved Purchaser with reasonable access to facilitate the removal of the Delayed Transfer Assets;
 - (d) use reasonable care not to damage the Delayed Transfer Assets;
 - (e) service and maintain the Delayed Transfer Assets in a manner which is consistent with the operation of the Delayed Transfer Assets before the Commencement Date or Completion Date (as applicable) and in accordance with any plans established before the Commencement Date or Completion Date (as applicable);
 - (f) indemnify the Approved Purchaser for any loss suffered due to damage caused to the SAPL Delayed Transfer Assets before the Completion Date; and
 - (g) indemnify the Approved Purchaser for any loss suffered due to wilful damage caused to the Delayed Transfer Assets after the Completion Date.

7.2 Direction to personnel of Asahi

As soon as practicable after the Commencement Date, Asahi must direct its personnel, including directors, contractors, managers, officers, employees and agents not to do anything in breach of or inconsistent with Asahi's obligations under the Undertaking.

8 Independent Audit

8.1 Obligation to appoint an Approved Independent Auditor

- (a) Asahi must appoint and maintain an Approved Independent Auditor to audit and report upon Asahi's compliance with the Undertaking.
- (b) Without limiting Asahi's obligations in the Undertaking, Asahi must:
 - (1) comply with and enforce the terms of appointment for the Approved Independent Auditor;
 - (2) maintain and fund the Approved Independent Auditor to carry out his or her functions including:
 - (i) indemnify the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the negligence, fraud, misconduct, breach of contract or breach of duty by the Approved Independent Auditor;
 - (ii) provide and pay for any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor; and
 - (3) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor, including:
 - (i) directing Asahi's personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 8;
 - (ii) providing access to the facilities, sites or operations of the Delayed Transfer Assets and Asahi's other businesses as required by the Approved Independent Auditor;
 - (iii) providing to the Approved Independent Auditor any information or documents requested by the Approved Independent Auditor that he or she considers necessary for carrying his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC, except where Asahi has a claim of legal professional privilege over the requested information or documents;
 - (iv) not requesting any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC; and
 - (v) not appointing the Approved Independent Auditor, or have any agreements, understandings or arrangements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with the Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

8.2 Approved Independent Auditor

- (a) The ACCC has approved the appointment and the terms of appointment of Jean-Marc Imbert as an Approved Independent Auditor as a precondition to ACCC acceptance of the Undertaking.
- (b) The ACCC may revoke an Approved Independent Auditor's status as the Approved Independent Auditor if the ACCC becomes aware that any information provided to it by Asahi or the Approved Independent Auditor was incorrect, inaccurate or misleading.

8.3 Obligations and powers of the Approved Independent Auditor

- (a) Asahi must procure that the terms of appointment of the Approved Independent Auditor include obligations on the Approved Independent Auditor to:
 - (1) maintain his or her independence from Asahi, apart from appointment to the role of Approved Independent Auditor, including not forming any relationship with Asahi which is contrary to the Independence Criteria for the period of his or her appointment;
 - (2) provide a scheduled written Audit Report as described in clauses 8.4(a) and 8.4(b);
 - (3) immediately inform the ACCC of:
 - any issues that arise in relation to the performance of his or her functions as Approved Independent Auditor;
 - non-compliance with the Undertaking by any person named in the Undertaking; and
 - (4) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under the Undertaking.
- (b) Asahi must procure that the terms of appointment of the Approved Independent Auditor provide the Approved Independent Auditor with the authority to:
 - (1) access the facilities, sites or operations of the Delayed Transfer Assets and Asahi's other businesses as required by the Approved Independent Auditor;
 - (2) access any information or documents that the Approved Independent Auditor considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC; and
 - (3) engage any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor.

8.4 Compliance audit

- (a) The Approved Independent Auditor must conduct an audit and prepare a detailed report (**Audit Report**) on:
 - (1) Asahi's compliance with the Undertaking;
 - (2) all of the reasons for the conclusions reached in the Audit Report;
 - (3) any qualifications made by the Approved Independent Auditor in forming his or her views;

- (4) any recommendations by the Approved Independent Auditor to improve the integrity of the auditing process and any recommendations to improve Asahi's processes or reporting systems in relation to compliance with the Undertaking; and
 - (5) the implementation and outcome of any prior recommendations by the Approved Independent Auditor.
- (b) The Approved Independent Auditor is to provide an Audit Report to the ACCC and Asahi at the following times:
 - (1) within 10 Business Days of the Completion Date; and
 - (2) every three months after the date of provision of the first Audit Report pursuant to clause 8.4(b)(1), until the ACCC confirms in writing to Asahi that it is satisfied that the obligations in clauses 5 (including Schedule 2 if applicable), 6, and 7 as relevant have been satisfied.
- (c) Asahi must implement any recommendations of the Approved Independent Auditor made in the Audit Report, and notify the ACCC of the implementation of the recommendations, within 10 Business Days of receiving the Audit Report or after a period agreed with the ACCC.
- (d) Asahi must comply with any direction of the ACCC in relation to matters arising from the Audit Report within 10 Business Days of being so directed (or such longer period as agreed with the ACCC).

8.5 Resignation or termination of the Approved Independent Auditor

- (a) Asahi must immediately notify the ACCC in the event that the Approved Independent Auditor resigns or otherwise stops acting as the Approved Independent Auditor before the ACCC has provided a written notice to Asahi pursuant to clauses 4.1, 4.2 or 4.3.
- (b) The ACCC may approve any proposal by, or alternatively may direct, Asahi to terminate the appointment of the Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of the Undertaking or the terms of his or her appointment.
- (c) If clause 8.5(a) or 8.5(b) applies, Asahi must provide the ACCC with a Proposed Independent Auditor Notice within 10 Business Days of the resignation or termination of the Approved Independent Auditor, otherwise clause 8.5(f) applies.
- (d) Within 10 Business Days of receiving a Proposed Independent Auditor Notice referred to in clause 8.5(c), the ACCC will decide whether to:
 - (1) approve the appointment of the person named in the Proposed Independent Auditor Notice as the Approved Independent Auditor which includes approving the terms of appointment attached to the Proposed Independent Auditor Notice; or
 - (2) not approve the appointment of the person named in the Proposed Independent Auditor Notice as the Approved Independent Auditor; and
 - (3) the ACCC will notify Asahi in writing of its decisions made pursuant to this clause.
- (e) After receiving notice from the ACCC of any decisions pursuant to clause 8.5(d)(1) or 8.5(f) and by no later than the date of appointment in the Approved Terms of Appointment, Asahi must:
 - (1) appoint the person approved by the ACCC pursuant to clause 8.5(d)(1) or clause 8.5(f) as the Approved Independent Auditor on the Approved Terms of Appointment; and

- (2) forward to the ACCC a copy of the executed Approved Terms of Appointment within one Business Day of its execution.
- (f) If the ACCC does not approve the appointment of the person named in the Proposed Independent Auditor Notice as the Approved Independent Auditor or Asahi fails to provide the ACCC with a Proposed Independent Auditor Notice under clause 8.5(c), the ACCC will, at the ACCC's absolute discretion:
 - (1) identify and approve a person as the Approved Independent Auditor which includes approving the terms of appointment of the Approved Independent Auditor; and
 - (2) direct Asahi to appoint pursuant to clause 8.5(e) the Approved Independent Auditor on the Approved Terms of Appointment.
- (g) Without limiting the ACCC's discretion, in making the decisions described in clause 8.5(d), the factors to which the ACCC may have regard include:
 - (1) whether the person named in Proposed Independent Auditor Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor;
 - (2) whether the person named in the Proposed Independent Auditor Notice or identified by the ACCC is independent of Asahi;
 - (3) whether the terms of appointment are consistent with the Undertaking;
 - (4) the proposed date of appointment pursuant to the terms of appointment; and
 - (5) whether the terms of appointment are otherwise acceptable to the ACCC.
- (h) The ACCC may extend the period within which it will provide the notice described in clause 8.5(d) by notifying Asahi in writing of the extension within 10 Business Days of receiving the Proposed Independent Auditor Notice.

9 Information

- (a) Asahi must notify the ACCC and each Undertaking Appointment in writing of the Completion Date at least five Business Days before the Completion Date is proposed to occur.
- (b) Asahi must notify the ACCC and each Undertaking Appointment in writing of the occurrence of the Completion Date within one Business Day after that date.
- (c) The ACCC may direct Asahi in respect of its compliance with the Undertaking to, and Asahi must:
 - (1) furnish information, documents and materials to the ACCC in the time and in the form requested by the ACCC;
 - (2) produce information, documents and materials to the ACCC within Asahi's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (3) direct its personnel, including its directors, contractors, managers, officers, employees and agents to attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- (d) Any direction made by the ACCC under clause 9(c) will be notified to Asahi, in accordance with clause 14.1(b).

- (e) In respect of Asahi's compliance with the Undertaking or an Undertaking Appointment's compliance with its Approved Terms of Appointment, the ACCC may request any Undertaking Appointment to:
 - (1) furnish information, documents and materials to the ACCC in the time and in the form requested by the ACCC;
 - (2) produce information, documents and materials to the ACCC within the auditor's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (3) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- (f) Asahi will use its best endeavours to ensure that an Undertaking Appointment complies with any request from the ACCC in accordance with clause 9(e).
- (g) The ACCC may, in its discretion to be exercised in good faith:
 - (1) advise any Undertaking Appointment of any request made by it under this clause 9; and/or
 - (2) provide copies to any Undertaking Appointment of any information furnished, documents and material produced or information given to it under this clause 9.
- (h) Nothing in this clause 9 requires the provision of information or documents in respect of which Asahi has a claim of legal professional or other privilege.
- (i) Where confidential information is provided to the ACCC in accordance with this clause 9, the ACCC will keep that information confidential save that nothing in this clause 9 prevents the ACCC from disclosing such information as:
 - (1) is required by law;
 - (2) is permitted by s 155AAA of the Act;
 - (3) is necessary for the purpose of enforcement action under section 87B of the Act; or
 - (4) is necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with the Undertaking.
- (j) Nothing in clause 9(i) prevents the ACCC from using information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 9 for any purpose consistent with the exercise of its statutory functions and powers.

10 Disclosure of the Undertaking

- (a) Asahi and the ACCC agree that Schedule 2 will remain confidential until after the Completion Date and Schedule 4 will remain confidential at all times.
- (b) Asahi acknowledges that the ACCC may provide any Undertaking Appointment with a copy of the Undertaking which includes unredacted versions of Schedule 2 and Schedule 4.
- (c) Asahi acknowledges that the ACCC may, subject to clause 10(a):
 - (1) make the Undertaking publicly available; and
 - (2) publish the Undertaking on its Public Section 87B Undertakings Register; and

- (3) from time to time publicly refer to the Undertaking.
- (d) Nothing in this clause 10 or the confidential parts of the Undertaking referred to in clause 10(a) prevents the ACCC from disclosing such information as:
 - (1) is required by law;
 - (2) is permitted by s 155AAA of the Act;
 - (3) is necessary for the purpose of enforcement action under section 87B of the Act; or
 - (4) is necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with the Undertaking.
- (e) Nothing in clause 10 or the confidential parts of the Undertaking referred to in clause 10(a) prevents the ACCC from using the information contained in the Undertaking for any purpose consistent with its statutory functions and powers.

11 Obligation to procure

Where the performance of an obligation under the Undertaking requires a Related Body Corporate of Asahi to take or refrain from taking some action, Asahi will procure that Related Body Corporate to take or refrain from taking that action, as the case may be.

12 No derogation

- (a) The Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of the Undertaking in respect of any breach by Asahi of any term of the Undertaking.
- (b) Nothing in the Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that Asahi does not fully implement and/or perform its obligations under the Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.

13 Costs

Asahi must pay all of its own costs incurred in relation to the Undertaking.

14 Notices

14.1 Giving Notices

- (a) Any notice or communication to the ACCC pursuant to the Undertaking must be sent to:

Email address: mergers@acc.gov.au,
 Attention: Executive General Manager - Mergers and Acquisitions Group

With an email copy sent to:

mergers@accc.gov.au;

Director, Undertaking Compliance Unit

Merger Coordination and Strategy Branch

- (b) Any notice or communication to Asahi pursuant to the Undertaking must be sent to:

Name: Freehills

Address: 101 Collins Street, Melbourne, VIC 3000

Fax number: 03 9288 1567

Attention: Chris Jose or Karen Gibbons

with a copy to:

Name: Asahi

Address: Level 5, 111 Cecil Street, South Melbourne, VIC 3205

Fax number: 03 88663879

Attention: General Counsel

14.2 Change of address or fax number

If Asahi or the ACCC gives the other three Business Days notice of a change to its address, fax number or email address, any notice or communication is only given to the relevant entity if it is delivered, posted or faxed to the most recently advised address or fax number.

15 Defined terms and interpretation

15.1 Definitions in the Dictionary

A term or expression starting with a capital letter:

- (a) which is defined in the Dictionary in Clause 1 of Schedule 1 to the Undertaking (Dictionary), has the meaning given to it in the Dictionary; or
- (b) which is defined in the Corporations Act, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act.

15.2 Interpretation

Clause 2 of Schedule 1 to the Undertaking sets out rules of interpretation for the Undertaking.

Schedules

Table of contents

Dictionary and Interpretation	19
Confidential clauses	24
Divestiture Business	35
Confidential agreements	38

Schedule 1

Dictionary and Interpretation

1 Dictionary

The meanings of the terms used in this agreement are set out below.

Term	Meaning
ACCC	the Australian Competition and Consumer Commission.
Act	the <i>Competition and Consumer Act 2010</i> (Cth).
Approved Independent Auditor	the person appointed under clause 8
Approved Co-Packing Agreement	any agreement approved by the ACCC pursuant to clause 6.3 and as renewed from time to time under clause 5.4(c).
Approved Purchaser	is TBB.
Approved Terms of Appointment	for the Approved Independent Auditor, the terms of appointment approved by the ACCC pursuant to clause 8.5(d)(1) or clause 8.5(f)(1).
Asahi	the entity referred to in clause 1 of the Undertaking.
Asset Sale Agreement	the contract executed on 3 July 2011 and approved by the ACCC by which P&N and P&N Australia will sell the assets and transfer the employees required for its carbonated soft drink (CSD), cordial and energy drink business to TBB.
Associated Entity	has the meaning given by section 50AAA of the Corporations Act 2001 (Cth).
Audit Report	has the meaning in clause 8.4.
Business Day	a day other than a Saturday or Sunday on which banks are open

Term	Meaning
	for business generally in the Australian Capital Territory.
Completion Date	the date on which the Proposed Acquisition is completed.
Commencement Date	the date described in clause 3.1.
Consents	any third party consents required by the Approved Purchaser and necessary for the conduct of the Divestiture Business to the assignment, novation, sale or transfer of any material contracts used in respect of the Divestiture Business.
Delayed Transfer Assets	means the SAPL Delayed Transfer Assets and the P&N Delayed Transfer Assets.
Divestiture Business	the assets described in Schedule 3.
Entities Connected	has the meaning given by section 64B of the Corporations Act 2001 (Cth).
Independence Criteria	the criteria by which the independence of an Undertaking Appointment will be determined, including whether the person has any of the following types of relationships with Asahi: 1 an Associated Entity; 2 an Entity Connected; 3 a Related Entity; 4 a Related Party; 5 any Related Party, Related Entity or Entity Connected with Asahi is a Related Party, Related Entity or Entity Connected with the Undertaking Appointment; 6 Asahi and the Undertaking Appointment have a contractual relationship or had one within the past three years, other than as notified to the ACCC; 7 a supplier to Asahi, or has been in the past three years; 8 a material customer of Asahi, or has been in the past three years; 9 any other relationship between Asahi and an Undertaking Appointment that allows one to affect the business decisions of the other.
P&N	P&N Beverages Australia Pty Ltd (ACN 011 059 939).

Term	Meaning
P&N Australia	P&N Australia Pty Ltd (ACN 101 168 192)
Plant and Equipment	Plant, equipment, machinery, tools, furniture, removable fixtures, fittings and motor vehicles
P&N Delayed Transfer Assets	those assets listed in Schedule 3 owned by P&N prior to the Completion Date, the physical possession of which will not immediately transfer to TBB on the Completion date, namely: • all Plant and Equipment comprising the Q5 Production Line at Goodna; and • certain components of Plant and Equipment from the Q4 line at the Goodna premises, including a glass filler and a robot and palletiser required for the supply of ALDI products.
Proposed Acquisition	is defined in clause 2.
Proposed Independent Auditor	a person named in a Proposed Independent Auditor Notice.
Proposed Independent Auditor Notice	a completed notice in the form prescribed by the ACCC provided to the ACCC with all required information in relation to a Proposed Independent Auditor.
Related Bodies Corporate	has the meaning given by section 4A of the Act.
Related Entities	has the meaning given by section 9 of the <i>Corporations Act 2001</i> (Cth).
Related Parties	has the meaning given by section 228 of the <i>Corporations Act 2001</i> (Cth).
SAPL	Schweppes Australia Pty Ltd (ACN 004 243 994).
SAPL Asset Transfer Deed	the contract executed on 3 July 2011 and approved by the ACCC by which SAPL will transfer the TB7 cordial line, the IB1 PET production line and the OB1 PET and glass line to TBB.
SAPL Delayed Transfer Assets	those assets listed in Schedule 3 owned by SAPL prior to the Completion Date, the physical possession of which will not immediately transfer to TBB on the Completion date, namely the Plant and Equipment comprising the TB7 Cordial Line, OB1 PET

Term	Meaning
	and Glass Line, and IB1 PET Line.
Share Purchase Agreement	the contract executed on 3 July 2011 and approved by the ACCC by which Asahi will acquire all of the shares in P&N and P&N Australia Pty Ltd.
Subsidiary	has the meaning given by section 4A of the Act.
TBB	Tru Blu Beverages Pty Ltd (ACN 151 411 764).
Transferred Personnel	is defined in clause 5.3.
Undertaking	is a reference to all provisions of this document, including its Schedules and as varied from time to time under section 87B of the Act.
Undertaking Appointment	All persons approved by the ACCC and appointed under the Undertaking, including where relevant under all Schedules.

2 Interpretation

In the interpretation of the Undertaking, the following provisions apply unless the context otherwise requires:

- (a) a reference to the Undertaking includes all of the provisions of this document including its Schedules;
- (b) headings are inserted for convenience only and do not affect the interpretation of the Undertaking;
- (c) if the day on which any act, matter or thing is to be done under the Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
- (d) a reference in the Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
- (e) a reference in the Undertaking to any company includes its Related Bodies Corporate;
- (f) a reference in the Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
- (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to the Undertaking;

- (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
- (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
- (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;
- (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;
- (l) a construction that would promote the purpose or object underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
- (m) material not forming part of the Undertaking may be considered to:
 - (1) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the competition concerns intended to be addressed by the Undertaking and the clause in question; or
 - (2) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
- (n) in determining whether consideration should be given to any material in accordance with paragraph, or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to:
 - (1) the effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
 - (2) the need to ensure that the result of the Undertaking is to completely address any ACCC competition concerns;
- (o) the ACCC may authorise the Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under the Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;
- (p) in performing its obligations under the Undertaking, Asahi will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of the Undertaking;
- (q) a reference to:
 - (1) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
 - (2) a party includes its successors and permitted assigns; and
 - (3) a monetary amount is in Australian dollars.

Schedule 2

Confidential clauses

Redacted.

Schedule 3

Divestiture Business

Production and warehouse facilities

Leasehold interests

P&N's property leases over its premises at Condell Park .

P&N Plant and Equipment

Plant, equipment, machinery, tools, furniture, removable fixtures, fittings and motor vehicles (**Plant and Equipment**) as follows:

- all Plant and Equipment located at Condell Park (but not the S1 Production Line and S4 Production Line (other than those parts that specifically relate to the manufacture of CSDs));
- all Plant and Equipment located at Larapinta;
- all Plant and Equipment comprising the Q5 Production Line at Goodna; and
- certain components of Plant and Equipment from the Q4 line at the Goodna premises, including a glass filler and a robot and palletiser required for the supply of ALDI products;

Subject to the lessor's consent, the finance leases for the Plant and Equipment leased by P&N at Condell Park and Larapinta to be novated to TBB. If the finance leases cannot be novated then P&N will purchase the relevant Plant and Equipment from the financier and transfer it to TBB at completion.

SAPL Plant and Equipment

Plant and Equipment comprising the TB7 Cordial Line, OB1 PET and Glass Line, and IB1 PET Line.

Intellectual property rights

The following intellectual property rights:

- 1 **Business names:** "P&N Beverages Australia" (BN 978 432 17) registered in NSW.
 - 2 **Domain names:**
 - pnbeverages.com.au (registered to Pure & Natural Beverages Pty Ltd)
 - wickedenergy.com.au (registered to P&N Beverages Australia Pty Ltd)
 - job-info.com.au (registered to P&N Beverages Australia Pty Ltd)
 - job-info.net.au (registered to P&N Beverages Australia Pty Ltd)
 - wickedenergy.com (registered to P&N Beverages Australia Pty Ltd)
 - pnbeverages.com (registered to P&N Beverages Australia Pty Ltd)
 - 3 **Trade Marks**
 - Image - No. 301625
 - Ceda - No. 313682
 - Pub Squash image - No. 554607
 - Splitts - No. 554608
 - Trio - No. 554610
 - Pub Squash - No. 554611
-

- Treeti image - No. 587442
- Lido - No. 707650
- LA Diet Ice Cola image - No. 815475
- LA Ice Cola image - No. 815476
- Brewer's Choice Ginger Beer image - No. 848110
- Upper E Energy image - No. 896874
- Wicked Energy Drink image - No. 1362820
- Cooltek Body Cooling Technology - No. 918694
- Pub Squash image - No. 921946
- P&N image - No. 921947
- L*A Extreme Ice - No. 925894
- L*A Maxi Ice - No. 925895
- Diet Rite- No. 934717
- Ride - No. 941614
- Smash Repair - No. 945157
- Huey - No. 952858
- Wild NRG - No. 998020
- Tiger Herbal Ginger Beer - No. 1015924
- P&N image - No. 1107565
- LA Café Ice Cola image - No. 1115060
- LA Maxi Ice Cola image - No. 1115614
- Diet Rite image - No. 1115617
- Fuze - No. 1025854
- Fuze image - No. 1037807
- Waterfords - No. 1046104
- Waterfords Hi Juice - No. 1075740
- Fuze image - No. 1261849
- LA Diet Ice Cola image - No. 1121762
- Traffic Stoppers image - No. 1156369
- Classic Hits image - No. 1158179
- Tru-Blu image - No. 1306515

In relation to the Extra Juicy trade mark, a transitional licence for a period of 6 months in relation to cordial products.

Stock

The following Inventory, being raw materials, components, work-in-progress, finished goods, packaging, advertising and marketing materials, catalogues, stationary and spare parts and including items in transit from a supplier or to a customer or on consignment with a customer owned by P&N or P&N Australia (**Inventory**):

- all Inventory used or intended for use exclusively in connection with the CSD and cordials business of P&N; and
 - other Inventory at the Condell Park premises and the Larapinta premises, capable of being used in connection with both the CSD and cordials business of P&N and the water and juice business of P&N.
-

Contracts	All P&N contracts (including parts of contracts) and commitments other than those contracts (including parts of contracts) identified by Asahi which relate to the water and juice business of P&N.
Business Records	All documents and information: • in the possession of SAPL which relate exclusively to the SAPL Delayed Transfer Assets; and • in the possession of P&N and P&N Australia, which relate exclusively to the CSD and cordials business of P&N, or to the assets described in this schedule or the Transferred Personnel.
Permits	All permits, licences, consents, planning permissions, certifications or authorisations issued by a government agency and related documentation and used exclusively in connection with the CSD and cordials business of P&N (Permits), if any.
Goodwill	Goodwill of the CSD and cordials business of P&N.

Schedule 4

Confidential agreements

Redacted.

Signing page

Executed as an Undertaking

Executed by Asahi Holdings (Australia) Pty Ltd
pursuant to section 127(1) of the Corporations Act 2001 by:



Signature of director

David Beguehy
Director

Name of director (print)

5.8.11

Date



Signature of ~~a~~ director/company secretary

Robert Iervasi
Company Secretary

Name of director/company secretary (print)

5.8.11

Date

Accepted by the Australian Competition and Consumer Commission
pursuant to section 87B of the *Competition and Consumer Act 2010* on:



Date 11.8.11

And signed on behalf of the Commission:

Chairman

Date